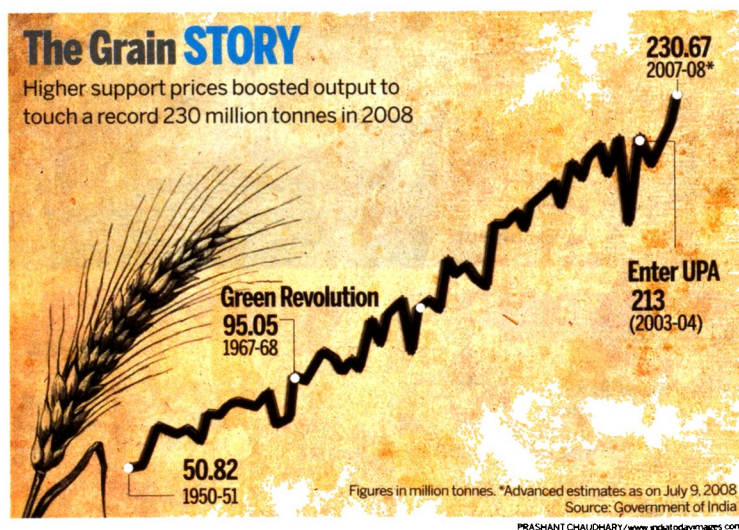


Cover story **RISING PRICES**

shot up by 193 per cent. Indeed, since May 2004 when the UPA came to power, prices of rice have gone up by 77 per cent and that of tur dal by an astounding 252 per cent. Now from chambers to churches, public concern and ire is focused on food affordability. Not surprisingly, in Delhi, BJP President Nitin Gadkari made his presence felt by joining his colleagues in Parliament to make a representation to the prime minister. In Chandigarh, Punjab Deputy Chief Minister Sukhbir Singh Badal said high prices represent the complete failure of the Congress. Even the Congress, which loves to hate Pawar, jumped in to take a pot shot at him. Congress spokesman Manish Tiwari said, "I cannot comment on Pawar's performance but the issue of prices squarely falls on his turf." The echo from the political chorus is strikingly similar: blame "faulty policies" without getting into the specifics.

Prices will not fall because food price inflation is embedded in the DNA of the Congress-led UPA. It will not come down because no political party will challenge the "pro-poor postulate". The UPA came to power waving the slogan, "Congress ka haath aam admi ke saath" and is obliged to bring Bharat into the growth story. Essentially, this is driven by transfer of resources. Since assuming office 66 months ago, the UPA Government has hiked procurement prices, ratcheted up spending in the rural sector to over Rs 1,25,000 crore per year through the much-discussed NREGA and other Centrally-sponsored schemes besides through Bharat Nirman. Pawar is the target of political ire because he has the conflicting roles of minister for agriculture responsible for output, minister for food who has to ensure availability and minister for consumers affairs where he is obliged to manage prices. Almost everything that Agriculture Minister Pawar does



or does not do will get the Consumer Affairs Minister Pawar into trouble. But it is also by design to implement the political mandate and the economist in Prime Minister Manmohan Singh could not have missed this nuance while allotting portfolios.

There isn't a great mystery to food

price inflation. Yes, there was drought in 322 districts but there are enough stocks—over 47 million tonnes of food-grains—when buffer requirement is only 20 million tonnes, thanks to a record output of 230 million tonnes. Since 2004, the UPA has hiked procurement prices for paddy from Rs 580 per

BIHAR

Nitish Kumar



WHO IS TO BLAME

"Faulty policies of the Congress and statements of a few Union ministers."

WHAT NEEDS TO BE DONE

"Waive VAT as we have done in the case of sugar, and prosecute hoarders."